CASCADIA ANALYTICS

Viavi Solutions

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The Spirent AI Demand Surge Cannot Justify an Extreme Valuation Decoupling

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While fiscal 2026 demonstrated extraordinary top-line reacceleration driven by AI data center buildouts and the strategic integration of Spirent assets, equity markets have decoupled fundamentally from underlying cash generation. Significant GAAP unprofitability, ongoing share dilution from convertible note conversions, elevated leverage, and structural drag across legacy wireless test cast a long shadow over headline revenue momentum. The multi-year trajectory requires substantial free cash flow margin normalization that current trading levels have excessively front-run, leaving risk-reward highly skewed to the downside. We initiate coverage on Viavi Solutions with a Hold rating, establishing a blended target $11.48 and -66.1% upside explicitly.

HOLD	$11.48	-66.1%	$33.90
Hold — Valuation Concerns	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE
INVESTMENT RATING			

The market remains fixated on peak quarterly revenue acceleration and expanding non-GAAP margins in data center test architectures. In contrast, our institutional framework isolates the persistent divergence in GAAP net profitability, recurrent restructuring and interest burdens, and cash flow vulnerability tied to acquisition outlays.

Executive summary

Viavi Solutions operates as a network test and measurement plus optical components company serving telecom carriers and data center equipment makers. The enterprise footprint spans critical lab validation, field test instrumentation, and high-precision optical coatings. Across fiscal 2026, the company underwent an operational reshaping, driven by the acquisition and integration of Spirent assets alongside surging physical-layer complexity in artificial intelligence fabrics. While this strategic focus has positioned the company directly within high-density hyperscale deployments, the capital structure and profitability profile reflect material friction that the broader market has overlooked.

The evidentiary record over fiscal 2026 outlines a dramatic operational inflection that peaked in the fourth quarter. Full-year revenue reached $1.52B, representing 40.0% growth year over year, with gross profit of $875.4M and an operating income of $121.0M. The fourth quarter delivered $443.1M in revenue, up 52.5% year over year, led by the Network and Service Enablement (NSE) segment, which expanded 69.2% year over year to $353.9M. Non-GAAP operating margin expanded 960 basis points to 24.0%, and non-GAAP EPS rose 161.5% to $0.34. This momentum was supported by massive demand for 800G/1.6T and PCIe 6.0 test solutions, delivering 40% to 45% flow-through on incremental revenue. Management guidance for the first quarter of fiscal 2027 implies sustained expansion above 52% growth, alongside an EPS guide of $0.41, up 173% year over year.

However, an unvarnished audit of reported financial statements reveals acute structural burdens. Despite generating $168.1M in EBITDA, Viavi posted a GAAP net loss of $-30.4M for fiscal 2026, yielding a negative return on equity of -2.1% and diluted EPS of $-0.13. Diluted shares expanded by 15% to 261.0 million following convertible note conversions, diluting the per-share pass-through of operating profits. Below the non-GAAP line, performance was weighed down by heavy friction across the fiscal year. In the second quarter, GAAP net loss widened to $48.1M due to $38.7M in debt extinguishment charges and a 5% workforce reduction bearing $32M in charges, while long-term debt ballooned to $1.22B. Operating cash flow in the third quarter reversed into negative territory at -$26.3M due to contingent consideration outlays, even as GAAP net income dropped 67% to $6.4M under $17.3M in restructuring and amortization and a doubling of quarterly interest expense to $14.3M.

Capital allocation is tightly circumscribed by the post-acquisition debt footprint. While balance sheet remediation brought total debt to $698.3M and net debt to $50.5M against a cash position of $647.8M by fiscal year-end, free cash flow remained modest at $82.8M, representing a 5.5% free cash flow margin. At the reference spot price of $33.90, Viavi trades at an enterprise value to latest fiscal year EBITDA multiple of 52.9x, an enterprise value to revenue multiple of 5.9x, and a market capitalization to revenue multiple of 5.8x on an $8.85B market equity capitalization. Our discounted cash flow framework indicates that market pricing reflects unrealistic compounding and terminal cash generation assumptions, establishing our cautious rating.

Operational snapshot

$33.90	$1.52B	$82.8M	5.5%	$50.5M	$33.90
REF. PRICE	FY2026 REVENUE	FY2026 FREE CASH FLOW	FCF MARGIN	NET DEBT	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-29.

The moat is Specialized and Entrenched

Viavi Solutions derives its structural durability from specialized engineering integration across network architectures and precision optical hardware. Serving telecom carriers and data center equipment makers, the enterprise embeds its testing toolsets into early-stage physical-layer design, validation benches, and live deployments. In the test and measurement domain, replacing an incumbent provider introduces substantial switching costs. Equipment manufacturers calibrate automated testing sequences and verification pipelines around specific hardware architectures. Attempting to substitute these systems risks deployment delays, product redesign loops, and field validation failures.

The technical moat has widened with the transition toward 800G/1.6T interconnect architectures and the rollout of PCIe 6.0 interface protocols inside AI data center environments. High-speed optical transceivers and high-bandwidth interconnects operate with razor-thin signal-to-noise margins, requiring nanometer-level optical precision and advanced testing capabilities. By absorbing Spirent assets, Viavi consolidated intellectual property across both ethernet protocol benchmarking and optical physical layer test equipment. This concentration of capabilities provides structural barriers to entry that prevent generic measurement vendors from challenging its position.

Customer retention is reinforced by the dual-pronged exposure across carrier core networks and high-density computing clusters. In the Optical Security and Performance (OSP) division, operating margin reached an exceptional 35.3% in the third quarter of fiscal 2026, demonstrating specialized manufacturing know-how and pricing power in optical components. These optical applications serve mission-critical end markets where component failure cannot be tolerated, sheltering the company from commodity pricing pressures even when macroeconomic headwinds affect broader telecommunications capital expenditures.

Nevertheless, this moat exhibits asymmetric vulnerability across legacy domains. While the data center ecosystem exhibits high switching costs, legacy wireless test remains structurally weak with no near-term recovery expected. Telecom carriers have curtailed capital deployments across legacy wireless footprints, leaving those specialized test assets underutilized. Therefore, the moat is not a monolithic defense, but rather an entrenched bastion around high-speed computing and optical components, counterbalanced by lingering exposures to cyclical communication service provider spending.

Valuation

Three scenarios make the valuation range explicit

To evaluate Viavi Solutions, we employ a multi-scenario discounted cash flow framework spanning fiscal 2026 through fiscal 2030, anchored by an institutional weighted average cost of capital of 9.18% and a baseline terminal growth rate of 3.0%. Model inputs reflect cash flow generation potential across 261.0 million diluted shares. The market equity capitalization of $8.85B at the reference spot price of $33.90 implies operational performance that far exceeds historical norms and fundamental projections.

Our quantitative scenarios model divergent paths for top-line revenue compounding and long-term free cash flow margin conversion. In our Base case, revenue expands at a 16.0% compound annual growth rate through fiscal 2030, driven by steady demand for 800G/1.6T and PCIe 6.0 test equipment, while the target free cash flow margin normalizes to 5.7%. In the Bull case, compound revenue growth reaches 20.0% alongside an 8.7% target free cash flow margin, reflecting sustained 40% to 45% incremental flow-through and broader operational leverage. In the Bear case, revenue growth decelerates to an 8.0% compound annual rate while target free cash flow margin settles at 2.7%, depressed by ongoing wireless test drag, integration expenses, and tariff overhead.

The resulting intrinsic valuation distribution underscores severe downside risk at prevailing market valuations. Our base case generates an intrinsic value of $11.34 per share, representing a 66.5% contraction from the reference spot price. Our bull case produces an intrinsic value of $18.74, which still represents a 44.7% discount to market pricing. The bear case yields an intrinsic value of $4.52 per share, indicating downside of 86.7%. Weighting these outcomes 25% bear, 50% base, and 25% bull delivers a blended target of $11.48 per share, establishing our downside projection of -66.1%.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	8.0%	2.7%	$4.52	-86.7%
Base	50%	16.0%	5.7%	$11.34	-66.5%
Bull	25%	20.0%	8.7%	$18.74	-44.7%

Bear $4.52

Revenue compounding decelerates to an 8.0% CAGR through fiscal 2030 as structural weakness in legacy wireless test persists and data center upgrade

Base $11.34

Revenue expands at a 16.0% CAGR as 800G/1.6T and PCIe 6.0 testing programs sustain steady adoption among data center equipment makers,

Bull $18.74

Revenue grows at a 20.0% CAGR through fiscal 2030 as AI data center demand broadens and flow-through margins sustain between 40% and 45% on

cycles face digestion phases. Free cash flow margin is constrained to 2.7% due to recurring integration friction, elevated tariff costs, and muted operational leverage, resulting in an intrinsic value of $4.52 (-86.7% vs spot).

balancing softness across telecommunications carrier clients. Target free cash flow margin reaches 5.7%, supported by operational synergies from the Spirent assets, generating an intrinsic valuation of $11.34 (-66.5% vs spot).

incremental volume. Normalized free cash flow margin expands to 8.7% as OSP optical strength and reduced interest outlays drive conversion, yielding an intrinsic value of $18.74 (-44.7% vs spot).

Valuation framework

A live discount rate, not a static hurdle

Our valuation framework employs a dynamic capital asset pricing model that establishes a discount rate of 9.18%. This weighted average cost of capital incorporates the company's realigned capital structure, which ended fiscal 2026 with total debt of $698.3M, net debt of $50.5M, and cash of $647.8M. The discount rate captures the operational volatility inherent in acquiring large assets, digesting debt restructuring charges, and navigating cyclical end-market expenditures among telecom carriers.

The market's current pricing of Viavi at $33.90 implies an equity hurdle rate well below fundamental reality, pricing out operational risks associated with integrating Spirent assets, tariff exposures, and interest obligations. A 9.18% discount hurdle appropriately weights the equity risk premium required given negative GAAP returns on equity of -2.1% and the demonstrated volatility in operating cash flows observed throughout fiscal 2026.

FCF margin normalization is the engine

Free cash flow margin evolution serves as the primary arbiter of equity value in our multi-stage cash flow bridge. In fiscal 2026, Viavi generated $82.8M in free cash flow on $1.52B of revenue, which equates to a 5.5% free cash flow margin. While non-GAAP operating margin showed substantial expansion, reaching 15.7% in the first quarter, 19.3% in the second quarter, 21.0% in the third quarter, and 24.0% in the fourth quarter, conversion to cash was constrained by non-operating outlays.

Specifically, the cash conversion engine faced friction during fiscal 2026 from contingent consideration payments that turned third-quarter operating cash flow to -$26.3M, debt extinguishment charges of $38.7M, and workforce reduction charges of $32M. Across our scenario modeling, base case margin expansion to 5.7% assumes that cash charges taper, allowing operating income to convert reliably into unlevered free cash flow. In the bull case, free cash flow margin reaches 8.7% as operating leverage takes hold, whereas the bear

case models compression to 2.7% under persistent working capital drag and integration requirements.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

> **Methodology.** Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**9.18% (2026-10-29)**
Terminal growth	**3.0%**
Diluted shares	**261.0 million**

HOLD

over $11.48 blended target

Competitive moat and concentration risk

We rate the moat as Narrow and we view the market structure as Oligopoly niches (optical test; high-speed Ethernet test duopoly with Keysight). We assign a premium of +10% to sector median multiples on moat strength alone.

- the Spirent carve-out consolidated a genuine duopoly in AI data-center fabric validation, plus the Optical Security and Performance (OSP) segment's ~40% operating margins (intickers segment summary, single-source summary, flagged) subsidizing NSE R&D.
- revenue in the twelve months to June 30, 2026 was $1.5B with the latest quarter +52.5% YoY (TickerNerd, data as of October 26, 2026); shares rose 223% over the past year vs 137.1% for the industry (Zacks, October 2026), with forward earnings estimates static at $1.62 (2026) and $1.86 (2027) over 60 days, demand is real but estimate stability argues against runaway pricing power. The U.S.
- The weakest element is keysight is a far larger rival, carrier capex is cyclical, and Viavi itself was loss-making on a TTM basis (net income −$30.4M on $1.5B revenue for the twelve months to June 30, 2026, via TickerNerd filing summary), a narrow moat that has not produced through-cycle profitability.

On a multiple cross-check, the justified range is 15.3-16.8x / 18.3-20.0x. The cross-check value is $6.09-$6.65 (pt $6.36), on a base of $0.333 FCF/share proxy (5.72% normalized FCF × FY2026 revenue $1.518bn ÷ 261M shares). The gap verdict is COLLAPSES, not at all (below Base $11.33).

This figure uses the normalized base from the October 27 recheck, not the original boom-year base.

Backlog is $610.1m RPO, 27 Jun 2026, with coverage of 4.8 months vs FY2026 revenue and visibility rated Medium. On backlog alone, the stance is Supports near term, model assumes less than the guided-quarter pace.

We score concentration and credit risk across seven families, where a High score is 8 points, a Medium score is 4 points, and a Low score is 1 point.

Risk family	Score
customer concentration	4 points
counterparty credit and funding dependence	1 points
single product, single program, or single platform dependency	4 points
single supplier, single fab, or single geography exposure	1 points
platform, channel, or distribution dependency	4 points
customer insourcing risk	4 points
regulatory single point risk	1 points

The combined discount is 19 percent, capped at 20 percent, against an uncapped total of 19 percent. Shown side by side with the moat premium or discount, the net stance is -9 pp points arithmetically. We do not net these figures into a new target, and we do not double count a family excluded under the double-count rule.

The ladder ranks risk coarsely, and because 32 of the 47 names reach the 20 percent cap, the combined discount is not a mechanical valuation haircut until the ladder is recalibrated.

On the gap to spot, the concentration assessment reads as follows. Not at all (corrected from batch arithmetic)

Both the moat premium or discount and the concentration discount are multiple and risk cross-checks dated October 27, 2026, and neither figure is in the DCF target itself. Cross-check figures were computed against the Base in the October 27 framework, so they may differ from a live Base that has since moved.

Business & segment drivers

Revenue prospects anchor on AI Data Center Lab Testing and Optical Security Precision HOLD

Viavi Solutions manages its commercial operations primarily through Network and Service Enablement (NSE) and Optical Security and Performance (OSP). NSE represents the primary engine of top-line expansion, accounting for $353.9M of the company's $443.1M fourth-quarter revenue, an increase of 69.2% year over year. In the second quarter, NSE generated $291.5M, representing 79% of total revenue and rising 45.8% year over year, while third-quarter segment revenue reached $321.5M, up 54.4%. This performance has been fueled by massive demand for 800G/1.6T transceiver test suites and PCIe 6.0 interface validation

instruments. Data center equipment makers require rigorous physical and protocol testing to prevent packet loss in dense compute environments, generating 40% to 45% flow-through on incremental NSE revenue.

The OSP division provides specialized optical components and precision coatings, delivering a defensive high-margin revenue stream. During the third quarter of fiscal 2026, OSP demonstrated strong unit economics, achieving an operating margin of 35.3%. These specialized optical technologies address high-reliability environments where authentication, anti-counterfeiting, and spectral management are required. This performance balances broader cyclicality across networking capital expenditures, insulating gross margins, which held at 57.7% for the full year on gross profit of $875.4M.

Conversely, the legacy wireless test portfolio remains a persistent drag on the business. Telecommunications service providers have pulled back spending on legacy wireless infrastructure, leading to structural declines in field test instrumentation demand. Management's commentary across the evidentiary record indicates no near-term recovery across legacy wireless test pipelines. As a result, the NSE segment must absorb this internal friction, relying heavily on hyperscale cloud and data center equipment makers to offset weakness across telecom carrier clients.

The transformative element across fiscal 2026 was the strategic transaction involving Spirent assets. First-quarter revenue of $299.1M beat guided ranges of $290M to $298M on initial data center momentum, with non-GAAP operating margin reaching 15.7% against guidance of 14.6% to 15.4%. By the second quarter, revenue grew 36.4% to $369.3M, and non-GAAP EPS of $0.22 exceeded the $0.20 guide ceiling, confirming that acquired assets were fundamentally accretive to non-GAAP operations. However, the operational complexity of integrating these facilities required a 5% workforce reduction and sustained restructuring charges, which amounted to $17.3M alongside amortization in the third quarter.

What to monitor

- **Incremental NSE Flow-Through Persistence** Tracking whether the 40% to 45% flow-through on incremental revenue for 800G/1.6T and PCIe 6.0 test architectures sustains as production scaling continues.
- **Convertible Debt Dilution Dynamics** Monitoring further expansion in the diluted share count beyond 261.0 million shares following the 15% jump in the fourth quarter.
- **Operating Cash Flow Stabilization** Evaluating the absence of further contingent consideration cash drains following the -$26.3M reversal in the third quarter.
- **Legacy Wireless Headwinds** Observing the rate of contraction in legacy wireless test demand to verify whether telecom carrier spending stabilizes.

+40.0%	57.7%	8.0%	5.5%	$50.5M	-2.1%
FY2026 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2026 (AS REPORTED)
Revenue	$1.52B
Gross Profit	$875.4M
EBIT	$121.0M
Net Income	$-30.4M
EBITDA	$168.1M
Free Cash Flow	$82.8M
Diluted EPS	$-0.13
ROE	-2.1%

Risk & moat matrix

The bear case

SHARE EROSION

Convertible note conversions caused diluted shares to jump 15% to 261.0 million in the fourth quarter. Additional conversions would further mute per-share earnings

M&A DIGESTION

Integrating Spirent assets prompted a 5% workforce cut with $32M in charges and a GAAP loss of $48.1M in the second quarter. Persistent integration friction and restructuring

REGULATORY AND PRICING SCRUTINY

Tariff costs were flagged as an operational headwind in early fiscal 2026 filings. Changes in trade policy could compress gross margin below the 57.7% mark achieved in fiscal 2026.

TECHNOLOGY DISRUPTION

Rapid architectural transitions beyond 1.6T could force accelerated engineering cycles, obsoleting current laboratory test benches. Failure to sustain technological leadership would directly impair NSE

REINVESTMENT TREADMILL

Operating cash flow turned negative at -$26.3M in the third quarter due to contingent consideration outlays. Heavy continuous reinvestment requirements restrict sustainable free cash flow conversion.

WACC AND DURATION SENSITIVITY

With an enterprise value to EBITDA multiple of 52.9x, intrinsic value is highly sensitive to our 9.18% discount rate. Any increase in the cost of capital would cause significant

power and dilute equity value.	costs could delay realization of projected operational synergies.		operating performance.		further downside.

The strengths

OLIGOPOLY POSITION

The combination of Viavi and Spirent test capabilities creates an entrenched supplier for 800G/1.6T validation. High switching costs prevent easy substitution by data center equipment makers.

FCF COMPOUNDING

Full-year free cash flow generated $82.8M alongside non-GAAP operating margin expansion to 24.0% in the fourth quarter. Incremental flow-through of 40% to 45% provides an engine for long-term cash generation as integration charges abate.

GEOGRAPHIC DURABILITY

Customer relationships span global telecom carriers and hyperscale data center equipment makers. Geographic reach insulates baseline demand against regional localized spending slowdowns.

PIPELINE OPTIONALITY

First quarter fiscal 2027 revenue guidance implies growth above 52% and non-GAAP EPS of $0.41, up 173% year over year. Strong product positioning in PCIe 6.0 validates substantial near-term top-line momentum.

The bottom line on risk and reward

Viavi Solutions presents a stark contrast between operational execution and market valuation. The operational pivot toward AI data center test architectures is succeeding on a non-GAAP basis, evidenced by fourth-quarter revenue rising 52.5% to $443.1M and non-GAAP operating margins reaching 24.0%. Incremental revenue flow-through of 40% to 45% in NSE validates that high-speed physical layer validation tools carry significant earnings power when hyperscale demand accelerates.

Nonetheless, institutional capital must distinguish between operational momentum and equity value. The company closed fiscal 2026 with a GAAP net loss of $-30.4M, diluted EPS of $-0.13, and return on equity of -2.1%. The balance sheet was subjected to severe debt swings, with long-term obligations peaking at $1.22B in the second quarter before ending the year at $698.3M total debt, while interest expenses doubled to $15.3M and $14.3M in mid-year quarters. Furthermore, a 15% expansion in diluted share count to 261.0 million structurally dilutes long-term equity claims.

Trading at $33.90, the equity commands an enterprise value to EBITDA multiple of 52.9x and an enterprise value to revenue multiple of 5.9x. These multiples reflect an aggressive scenario that

discounts all operational risks, ignores legacy wireless drag, and overstates sustainable cash generation. Our disciplined cash flow framework establishes an intrinsic base value of $11.34 and a probability-weighted blended target of $11.48, representing -66.1% upside. We advise institutional investors to maintain a Hold rating pending a more attractive entry point or improved GAAP cash conversion.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

Franchise deep dive

Network and Service Enablement (NSE): The AI High-Speed Validation Engine

The Network and Service Enablement (NSE) segment forms the core franchise of Viavi Solutions, generating $353.9M in the fourth quarter of fiscal 2026, or 79.8% of aggregate corporate revenues. The franchise supplies mission-critical test instrumentation and measurement suites to telecom carriers and data center equipment makers. Over the course of fiscal 2026, the NSE segment shifted focus toward high-density interconnect testing, capitalizing on the deployment of AI cluster compute nodes and switches that require unprecedented signal validation.

Technological requirements in high-speed optical transceivers have expanded the segment's addressable market. The deployment of 800G and 1.6T optical interconnects, combined with PCIe 6.0 bus architectures, requires sophisticated instrumentation capable of measuring jitter, latency, and packet loss at extreme frequencies. Operating leverage in this segment is substantial, yielding a 40% to 45% flow-through on incremental revenue during the fourth quarter. The addition of Spirent test assets reinforced this offering, providing comprehensive physical and protocol layer validation capabilities that customers find difficult to replicate internally.

However, the segment continues to absorb structural friction from its legacy wireless portfolio. Telecom carriers have restricted their capital expenditure budgets, causing sustained headwinds across traditional field testing tools. While data center demand expanded NSE revenue by 45.8% year over year in the second quarter, 54.4% in the third quarter, and 69.2% in the fourth quarter, legacy wireless performance remained soft. Management has emphasized that no near-term recovery is expected in legacy wireless, positioning the data center ecosystem as the essential driver of forward segment growth.

What the recent record shows

- NSE segment revenue expanded 69.2% year over year in the fourth quarter of fiscal 2026, reaching $353.9M on accelerating demand for 800G/1.6T and PCIe 6.0 test architectures.
- The segment demonstrated 40% to 45% operating flow-through on incremental revenue during the fourth quarter, driving total non-GAAP operating margin to 24.0%.

- In the third quarter of fiscal 2026, NSE revenue advanced 54.4% year over year to $321.5M, complemented by an OSP operating margin of 35.3%.
- Second-quarter NSE revenue reached $291.5M, representing 79% of total revenue and a 45.8% year-over-year increase, confirming strong demand from data center equipment makers.

Our read: The NSE segment has successfully established itself as an essential supplier for AI data center physical layer verification, demonstrating excellent incremental margins. However, with legacy wireless remaining a persistent structural drag and broader valuation multiples sitting at 52.9x EBITDA, the operational strength of NSE is already more than priced into shares at prevailing trading levels.